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Crisis Management and Operational Risk

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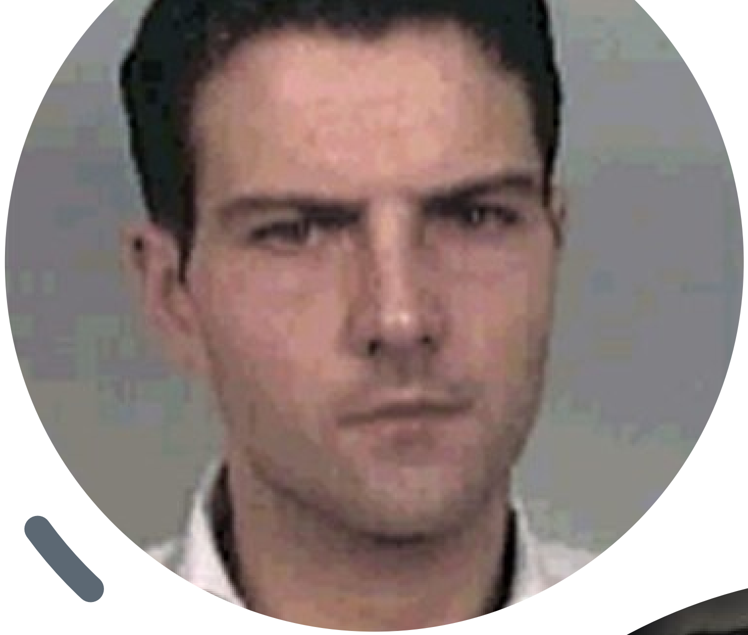
Measuring and managing operational risk

One of the biggest internal fraud in history – SocGen

- Jerome Kerviel at Societé Generale Bank
- DAX, FTSE 100, Eurostoxx indices
- Loss of EUR *4.9 billion*
- HR risk



Fake Real Plastic

Visa and Mastercards

Limits between $2500 and $4000+

Price: $105 per card (before any discounts)

Accepted form of payment:
Bitcoin
Vanilla Reload Network(US only)

Additional Info

- All cards are shipped with a PIN# for use at any ATM

- These cards are international, meaning they can be used world wide.

- I won't send free cards to anyone. No exceptions. I work hard for them.

Contact

crazycrush@hushmail.com

Info

Hello everyone!

I've been cloning credit cards for over 3 years, learned and perfected my method, just doing it for myself and have decided that can sell online and make money a lot easier. So everybody knows, these are real cards, visa and mastercards cloned to look identical.

I use my magnetic strip writer to write stolen credit card data to the cards. They can be used anywhere, in any store, just swipe and go. They are printed to look just like real VISA and Mastercards, and contain the data from VISA and Mastercard Signatures cards with limits between $2500 and $4000. I can put any name you want on the card.

Guaranteed to have at least $2500 left on credit card limit, most are over $4000. Need several? I will give a great deal on orders of more than 1 card. Order 3 save 10%, order 5 save 20%, order 10 save 30%. Cards are discreetly mailed worldwide using priority mail, with tracking numbers. Upgrade to express shipping for an additional $15. Same day shipping in most cases.

Card Discounts

Cards	Price
1	105 USD
3	284 USD
5	420 USD
10	735 USD
20	Ask Me

h77dywpf7536f7gx.onion

Startpage

We are proffesional skimming group
work in carding since 12 years.

Nowadays we do not want make withdraws by self, because of high risk issue and looking for few smart people from different   world wide's to share risk and benefits.

We offer physical credit card's with pin,
full world wide atm's   usable.
Cards have 2000 euro daily limit and balance above this amount.

We are looking for regular partnership.
Dont hesitate to contact us

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Time spent until problem is solved

Services affected by the problem	Few hours	Few days	Few weeks
Balance of banking account, online banking	▪Access Bank (2012) ▪Co-op Bank (2012)	▪TD Bank (2009) ▪JP Morgan Chase (2010)	
Payment services (pl.: ATM cash withdrawal, credit card payment)	▪Lloyds TSB, Halifax, Bank of Scotland (2012) ▪Nasdaq (2012) – 40 million dollars loss ▪RBS, NatWest, Ulster Bank (2013) ▪Lloyds TSB, Halifax, Bank of Scotland (2014) ▪Commonwealth (2014)	▪HSBC (2011) ▪HSBC (2012) ▪ING Hollandia (2013)	**▪RBS, NatWest, Ulster Bank (2012)**

Operational risk definition

Operational risk:

- internal processes,
- systems,
- people,
- or risk of loss due to some external events

The definition includes legal risk:

- Risk of current or future loss (having negative effect on capital or results), occurred by the company's non compliance to legal regulations (laws and other regulations), agreements or any other specified practices, ethical standards or violation of any previous regulations.
- Regulation definition does not cover strategic and reputational risks, however - based on supervisory approach - reputational risks is part of operational risks.

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Oprisk categorisation

Internal fraud	External fraud	Employment Practices and Workplace Safety
• deliberate act, in which at least one party is an employee of that organization • **eg. Financial fraud:** In 2008, the broker of the Societe Generale, Jerome Kerviel, made fictitious futures transactions, deceiving the internal audit system, causing a loss of $ 1,500 billion and almost bankrupt the bank.	• deliberate action by a third party • **eg. Hacker attack:** In September 2014, 56,000 cards were stolen from the Home Depot US.	• non-compliance with employment, health and safety rules, violation of equal treatment standards, loss of key persons or massive loss of workers • **eg. Loss of Key Personnel:** Dresdner and Deutsche Bank's failed merger eventually caused 100 key people's leaving. Employees were offered 'virtual shares' to prevent further emigration. Dresdner Bank's loss was HUF 105 bn.

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Oprisk categorisation

Clients, Products, and Business Practice	Damage to Physical Assets	Business Disruption and Systems Failures	Execution, Delivery, and Process Management
• an unintentional incident to a customer or damage due to the products' characteristics or design • **eg. Misleading Customer Information:** Bankinter SA Spanish Bank has been sued by 80 clients for inadequate counseling, alleging that the bank did not report the risks of investing in Lehman Brothers. The Bank's loss was HUF 2.5 bn.	• a natural, industrial disaster or human act that causes property damage, partial or total loss of property, or endangers human life • **eg. Industrial disaster:** On October 4, 2010, the dam of the MAL Zrt. sludge reservoir collapsed, and the red mud flowing out flooded the deeper parts of Kolontár, Devecser and Somlóvásárhely. As a result of the disaster, ten people were killed, more than two hundred injured.	• malfunctions of the IT and telecommunication system and infrastructure • **eg. System breakdown:** At Royal Bank of Scotland's Irish subsidiary in June 2012 there was a malfunctioning software update in the transaction processing center. The bank had to pay HUF 113 million as compensation. to the customers. During the breakdown there was problem with ATMs , online interface and money transfers.	• inappropriate handling of activities, tasks • **eg. Reporting Failure:** Banco Comercial Portugues was fined HUF 700 million in 2008 by the Portuguese Securities Market Committee (CMVM) for misreporting, failure to meet its obligations to shareholders

Top oprisks (Risk.net)

2021

1. IT disruption
2. Data compromise
3. Resilience risk
4. Theft and fraud
5. Outsourcing risk
6. Conduct risk
7. Regulatory risk
8. Organisational change
9. Geopolitical risk
10. Employees' wellbeing

2022

1. IT disruption
2. Theft and fraud
3. Talent risk
4. Geopolitical risk
5. Information security
6. Resilience risk
7. Outsourcing risk
8. Conduct risk
9. Climate risk
10. Regulatory risk

2023

1. Cyber risk: Information security
2. Compliance risk
3. Cyber riskt: IT disruption
4. Outsourcing risk
5. Resilience risk
6. Execution and Process Management
7. Change management
8. Geopolitical risk
9. Data management
10. Conduct risk

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Specialities of operational risk

- Regardless of the sector it appears in every organisations
- Heterogeneous type of risk that is difficult to define
- Difficult to define the exposure, the range of risks is constantly expanding and changing.
- Risk/ return relationship can not be defined in the case of operational. Instead of risk/return, risk/cost connection is measurable
- It includes common but low impact events (cashier deficiency, loss of documents, car damage) and rare but significant events (earthquakes, IT failure, war).
- The reliability of the measurement is low due to the lack of relevant data and experience.
- In risk management, dedication and participation of the whole organisation is necessary.

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Operational risk pyramid

Collecting loss data (PAST)

- Collecting and statistical analysis of loss cases due to human mistakes, process errors and internal factors;
- Decentralised data collection involving all organisation unit;
- Data quality monitoring
- General ledger conciliation
- External database (ORX, SAS Global Data): benchmark, capital requirement input

Self assessment (FUTURE)

- Shared, group level methodology;
- Process- based;
- Subjective expert assessments– workshops;
- Estimation: expected and unexpected loss, probability of happening, control evaluation
- Risk map;
- Actions - status

Scenario analysis

- Estimation of rarely happening events with high impact;
- Crisis events
- 20 scenarios, eg.: war, natural disaster, IT failure, Climate change

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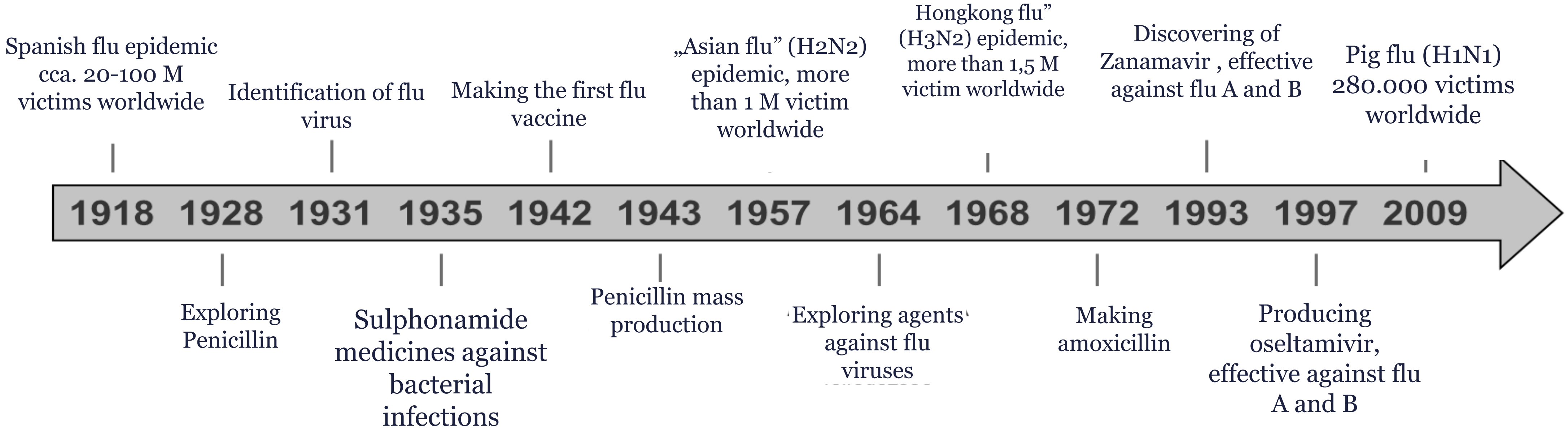
Epidemic



- Hungary is one of the less endangered countries in terms of epidemiology
- For a larger company, pandemic flu can be critical
  - Similar pandemic flu to the 2009 case **would not cause scenario level loss.**
  - Counting with the same type of pandemic like Spanish flu in 1918 in Hungary would have 10,000 dead and 800,000 ill victims that would cause for a big company around **10-15% loss of workforce.**

Key Risk Indicators

- Indicators that are closely related to the occurrence of operational risk events ;
- Constant monitoring: risk measuring, monitoring of the changes in risk exposure;
- Predicting the change of certain risk factors;
- Central and process- level indexes;
- They act as traffic lights to define a warning and a critical level
- Elaborating actions for warning and critical levels.

Capital calculation methods

BIA
15%* authoritative indicator

STA
12%/15%/18% * authoritative indicator

AMA
Internal model, 99,9% percentile

No precondition

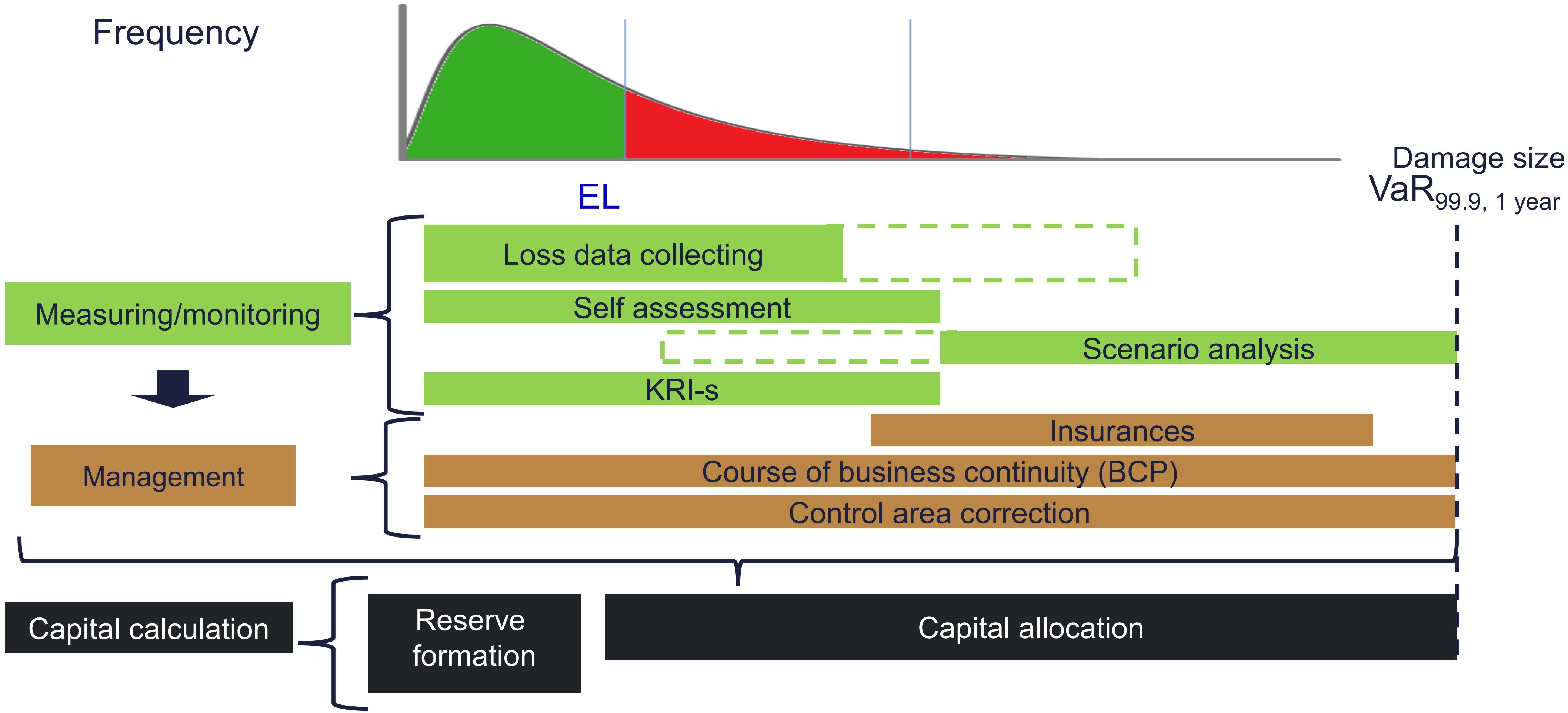
- Branch classification
- Risk management
- Data collecting
- Report/ handling
- Documented processes
- Validation- internal and external

- Data (Internal data– 5 years – External data)
- Modelling – scenario analysis
- Validation- internal/external
- Taking into account insurance

ASA – Alternative Standard Method

From 2025 SMA method: Gross income based, corrected by losses

AMA capital calculation



Crisis management and communication

What events can cause a crisis?

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„'The Chinese use two brush strokes to write the word '*crisis*.' One brush stroke stands for danger; the other for opportunity.*”*

J. F. Kennedy


Betrug
Das ~~Auto~~.

Crisis without crisis

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Definition of crisis

Definition of crisis

Crisis?

Problem?

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Catastrophe?

Trust crisis?

Company scandal?

Critique?

Definition

Immediate effect

Destructive

Became public

We define as crisis every event, action, situation that became public, potentially or effectively endangers trust regarding to the company and/or can damage the company’s reputation widely that can not be handled as part of the company’s normal operation.

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Definition of the crisis

We define as crisis every event, action, situation that became public, potentially or effectively endangers trust regarding to the company and/or can damage the company’s reputation widely that can not be handled as part of the company’s normal operation.

It is a source of uncertainty, change, disintegration	Threatening to the company and stakeholders	Behavior dependent	It is a process rather than an event

Crisis management

Phases of the crisis

The development of a crisis management system, similar to the operational risk management system, requires the involvement of the entire organization.

The tasks can be divided into three parts:

1. Crisis prevention, preparedness tasks
2. Tasks to be performed during a crisis situation
3. Post-crisis assessment, modification of the system

Crisis management approaches

	Pre-crisis	Crisis	Post-crisis
Internal approach	Organizational readiness	Leadership at crisis	Organizational learning
External approach	Relationship with stakeholders	Stakeholders' expectations	Social judgment

Source: J. Bundy, M. D. Pfarrer, Cole E. Short, W. T. Coombs: Crises and Crisis Management: Integration, Interpretation, and Research Development, Journal of Management, 2016

Pre-crisis phase

Internal approach

Reliability
- Ability to change formal structures
- Leadership support for improvisation
- Sensemaking

Organizational culture and structure
- Management models (white-collar crime prevention)
- Remuneration structure can lead to internal fraud (Wells Fargo)

External approach

- Positive relationship with stakeholders
- Keeping expectations realistic

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Crisis

Internal approach

- Leadership at crisis – „Fix the problem”
  - Leadership qualities (carisma)
- Governance structure
  - Smaller, more impactful board
  - “Stronger” CEO (But! More risk-taking)
- Internal communication

External approach

- Crisis response strategies: Defensive - adaptive (depends on responsibility)
- Time factor
- Type of crisis (how responsible is the company?)
- Reputation "reserve" (can have both positive and negative effects)
- Stakeholder identification with the organization
- Influencing stakeholders and the media
- The spill-over effects of the crisis on similar organizations

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Post-crisis

Internal approach

- Learning process: motivation, solution search, individual development
- It affects the intensity of learning: the magnitude and complexity of the crisis
- Learning from "another's mistake"

External approach

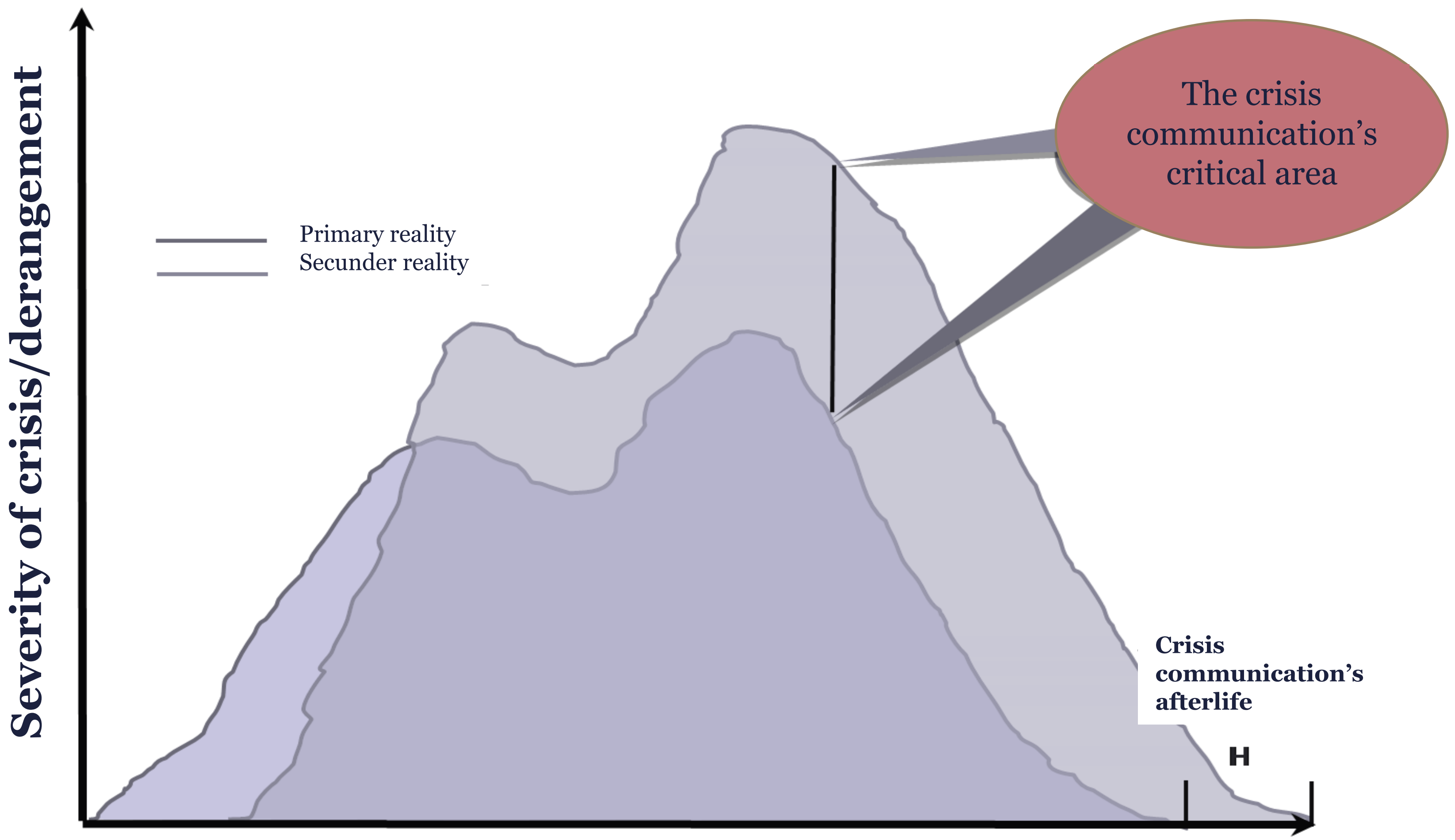
- Crisis response strategies and their social assessment: If the chosen strategy fits the expectations, the assessment is better
- The more severe the crisis, the greater the damage (stigma)

Operational answers
- Emergency procedure
- Protection of human life and course of business
- Assess the situation
- Informing the centre and the authorities

The key is to coordinate these activities effectively

Management answers
- Crisis crew
- Defining the level of the crisis
- Showing the direction to the directors
- Applying the crisis communication plan
- Preparing for external communication

Communication answers
- Employees in every depot
- Family of the employees
- Government representatives
- Clients
- Investors
- Press


Severity of crisis/derangement
Primary reality
Secunder reality
The crisis communication's critical area
Crisis communication's afterlife
H

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COVID-19

The operational risk respond to the pandemic

Months 1-2

The crisis tested the operational resilience of institution and third-party providers. Reprioritizing activities, postponing projects, maintaining key processing

Months 2-3

Business Continuity and Crisis Management strategies were successful in transition to remote working. Risk profile rapidly changed: cyber, IT security, fraud

Months 3-4

The role of operational risk management had changed: supporting the implementation of new tools, decision making.

Months 4-5

The „new normal"
Specific focus on people risk and conduct risk.
Lesson learned

How did COVID-19 change the banking risks? (ORX)

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Top 5 2020 risks

1. Information security (including cyber)
2. Conduct
3. Technology
4. Regulatory compliance
5. Financial crime

COVID Risk Review

1. Business Continuity
2. Information security (including cyber)
3. Transaction processing & execution
4. People
5. Third party

Lesson learned

- Risk profile has changed (conduct, legal, reputation and people risk)
- Critical processes
- Third party vulnerabilities
- Home office worked well
- Digitalization

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„Never let a good crisis go to waste”

Winston Churchill

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Thank you for your attention!

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